

COMMITTEE ON NATURAL RESOURCES, ENERGY & WATER
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2099
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 45-852.01, Arizona Revised Statutes, is amended
3 to read:

4 45-852.01. Long-term storage accounts

5 A. The director shall establish one long-term storage account for
6 each person holding long-term storage credits. The director shall
7 establish subaccounts within the long-term storage account according to
8 each active management area, irrigation non-expansion area, groundwater
9 basin or groundwater subbasin in which the person's stored water is
10 located. The long-term storage account shall be further subdivided by
11 type of water, if the person holds long-term storage credits for more than
12 one type of water.

13 B. Water stored pursuant to a water storage permit at a storage
14 facility may be credited to a long-term storage account if the director
15 determines that all of the following apply:

16 1. Either:

17 (a) The water that was stored was water that cannot reasonably be
18 used directly.

19 (b) The water was stored in a groundwater savings facility located
20 in an active management area that does not have a management goal of
21 achieving or maintaining a safe yield condition, the water was stored
22 between January 1, 2020 and December 31, 2026 and the director determines
23 that the storage assists in implementing within this state a drought
24 contingency plan for the lower basin of the Colorado River. The total
25 maximum amount that may qualify under this subdivision is fifteen thousand
26 acre-feet per year.

1 2. If the stored water was stored at a storage facility within an
2 active management area, either:

3 (a) The water would not have been naturally recharged within the
4 active management area.

5 (b) If the water was stored at a managed underground storage
6 facility that has been designated as a facility that could add value to a
7 national park, national monument or state park and the water stored is
8 effluent, the water stored is water that could have been used or disposed
9 of by the storer by means other than discharging the effluent into the
10 stream.

11 3. The stored water was not recovered on an annual basis pursuant
12 to section 45-851.01.

13 C. The director shall credit ninety-five percent of the recoverable
14 amount of stored water that meets the requirements of subsection B of this
15 section to the storer's long-term storage account, except that:

16 1. If the water was stored at a managed underground storage
17 facility that does not qualify as an existing effluent managed underground
18 storage facility and that had not been designated at the time of storage
19 as a facility that could add value to a national park, national monument
20 or state park and the water stored is effluent, the director shall credit
21 to the storer's long-term storage account fifty percent of the recoverable
22 amount of water that meets the requirements of subsection B of this
23 section. For storage of effluent in a managed underground storage
24 facility that is located in a recreational corridor channelization
25 district established pursuant to title 48, chapter 35, the director may
26 increase the storage credits earned from fifty percent to ninety-five
27 percent if both of the following apply:

28 (a) The effluent was not discharged into the stream where the
29 facility is located before the permit application for that facility was
30 filed.

31 (b) The director determines that the storage of effluent in the
32 facility will provide a greater benefit to aquifer conditions in the
33 active management area or, if outside an active management area, to the
34 groundwater basin than would accrue to the active management area or
35 groundwater basin if the effluent is used or disposed of in another
36 manner.

37 2. If the water was stored at a groundwater savings facility and
38 the storer has not met the burden of proving that one hundred percent of
39 the in lieu water was used on a gallon-for-gallon substitute basis for
40 groundwater, the director shall credit to the storer's long-term storage
41 account only the percentage of the in lieu water that meets the
42 requirements of subsection B of this section and that was proven to the
43 director's satisfaction as being used on a gallon-for-gallon substitute
44 basis for groundwater.

1 3. The director shall credit to the storer's long-term storage
2 account ninety percent of the recoverable amount of the water that meets
3 the requirements of subsection B of this section if all of the following
4 apply:

5 (a) The stored water was central Arizona project water that
6 qualifies as water that cannot reasonably be used directly due solely to
7 the exclusion of groundwater withdrawn by the storer for mineral
8 extraction or metallurgical processing under section 45-802.01, paragraph
9 23, subdivision (c).

10 (b) The storer was engaged in mineral extraction and metallurgical
11 processing within an initial active management area on or before January
12 1, 2011.

13 (c) All exterior boundaries of the storage facility that is used to
14 store the stored water are more than twenty miles from a well owned by the
15 storer on January 1, 2012 and that well is not an exempt well and any one
16 or more of the following apply:

17 (i) The well is an existing well as defined in section 45-591,
18 paragraph 1.

19 (ii) The department has issued a permit for the well under section
20 45-599, subsection C.

21 (iii) The well was drilled pursuant to a mineral extraction and
22 metallurgical processing permit issued by the department under section
23 45-514.

24 4. Except as otherwise provided in paragraph 2 of this subsection,
25 the director shall credit to the storer's long-term storage account or
26 conservation district account one hundred percent of the recoverable
27 amount of water that meets the requirements of subsection B of this
28 section if any of the following applies:

29 (a) The water stored was effluent that was stored at a constructed
30 underground storage facility, a groundwater savings facility or a managed
31 underground storage facility that was designated at the time of storage as
32 a facility that could add value to a national park, national monument or
33 state park.

34 (b) The water was stored in an active management area and the
35 stored water is water from outside the active management area that would
36 not have reached the active management area without the efforts of the
37 holder of the long-term storage credits.

38 (c) The water was stored outside an active management area and the
39 stored water is water from outside the groundwater basin in which the
40 water was stored that would not have reached the groundwater basin without
41 the efforts of the holder of the long-term storage credits.

42 (d) The water was stored for purposes of establishing and
43 maintaining a replenishment reserve pursuant to section 48-3772,
44 subsection E.

45 (e) The water was stored for replenishment purposes pursuant to
46 section 48-3771 and credited directly to a conservation district account
47 pursuant to section 45-859.01, subsection E.

1 5. IF THE STORER IS A MUNICIPAL PROVIDER, THE DIRECTOR MAY NOT
2 CREDIT TO THE STORER'S LONG-TERM STORAGE ACCOUNT ANY STORED WATER THAT IS
3 ~~[COLORADO RIVER WATER OR]~~ CENTRAL ARIZONA PROJECT WATER AND THAT IS STORED
4 [IN AN UNDERGROUND STORAGE FACILITY PURSUANT TO SECTION 45-811.01] DURING
5 A PERIOD OF SHORTAGE ON THE COLORADO RIVER, AS DECLARED BY THE UNITED
6 STATES SECRETARY OF THE INTERIOR OR THE COMMISSIONER OF THE BUREAU OF
7 RECLAMATION. [FOR THE PURPOSES OF THIS PARAGRAPH, STORED WATER DOES NOT
8 INCLUDE GROUNDWATER THAT IS WITHDRAWN FROM A BASIN OR SUBBASIN FROM WHICH
9 GROUNDWATER MAY BE TRANSPORTED AWAY PURSUANT TO CHAPTER 2, ARTICLE 8.1 OF
10 THIS TITLE OR OTHER WATER THAT IS NOT CENTRAL ARIZONA PROJECT WATER AND
11 THAT IS TRANSPORTED BY WAY OF THE CENTRAL ARIZONA PROJECT AQUEDUCT.]

12 D. The director shall credit a person's long-term storage account
13 by the amount of long-term storage credits assigned to that person by
14 another holder of long-term storage credits pursuant to section 45-854.01.

15 E. The director shall debit the appropriate subaccount of a
16 person's long-term storage account:

17 1. One hundred percent of the amount of stored water that the
18 holder of the long-term storage credits has recovered during the calendar
19 year pursuant to the permit.

20 2. The amount of long-term storage credits that the person has
21 assigned to another person or transferred to a master replenishment
22 account, conservation district account or water district account.

23 3. If the water was stored in an active management area, the amount
24 of water during the calendar year that migrates to a location outside the
25 active management area or to a location within the active management area
26 where it cannot be beneficially used within a reasonable period of time by
27 persons other than the storer with rights to withdraw and use groundwater.

28 4. If the water was stored outside of an active management area,
29 the amount of water during the calendar year that migrates to a location
30 outside the groundwater basin in which the storage facility is located or
31 to a location in the groundwater basin where it cannot be beneficially
32 used within a reasonable period of time by persons other than the storer
33 with rights to withdraw and use groundwater.

34 5. The amount of long-term storage credits that the storer,
35 pursuant to section 45-853.01, subsection B, has applied to offset
36 groundwater withdrawn or used in excess of the storer's per capita
37 municipal conservation requirements under the second management plan.

38 6. The amount of long-term storage credits that are held by the
39 Arizona water banking authority and that the authority has chosen to
40 extinguish.

41 F. To the extent the total amount of water withdrawn by a person
42 from wells designated as recovery wells pursuant to section 45-834.01
43 during a calendar year exceeds the amount of stored water recovered by the
44 person on an annual basis pursuant to section 45-851.01 and the amount of
45 long-term storage credits recovered by the person, the excess amount of
46 water recovered shall be considered groundwater withdrawn pursuant to
47 chapter 2 of this title.

1 <<Sec. 2. Section 45-854.01, Arizona Revised Statutes, is amended
2 to read:

3 45-854.01. Assignability of long-term storage credits

4 A. Except as provided in section 45-855.01, subsection C, the
5 holder of long-term storage credits may assign by grant, gift, sale, lease
6 or exchange all or part of the holder's long-term storage credits.

7 B. Except as provided in subsection C OR D of this section, an
8 assignment of long-term storage credits from one person to another is
9 valid on receipt by the director of notification of the assignment in
10 writing on a form that is provided by the director and that has been
11 signed by both the assignor and assignee.

12 C. The director may reject and invalidate any assignment of
13 long-term storage credits in which the stored water would not have met the
14 requirements for long-term storage credits as prescribed by section
15 45-852.01 if the assignee had stored the water.

16 D. The director shall reject and invalidate any assignment of
17 long-term storage credits that is inconsistent with section 45-852.01,
18 subsection C, paragraph 5.>>

19 Sec. 2. Section 48-3713.02, Arizona Revised Statutes, is amended to
20 read:

21 48-3713.02. Additional authority regarding water storage

22 A. The district may enter into a contract with ~~the~~ THIS state, the
23 Arizona water banking authority, a county, a municipality or another
24 person to develop, acquire, construct, operate or maintain water storage,
25 storage facilities and recovery wells pursuant to title 45, chapter 3.1 on
26 behalf of ~~the~~ THIS state, the Arizona water banking authority, a county, a
27 municipality or any other person. With respect to such agreements or
28 contracts, ~~the~~ THIS state, the Arizona water banking authority, a county,
29 a municipality or any other ~~persons~~ PERSON shall pay all costs relating to
30 such water storage, storage facilities and recovery wells, including their
31 proportional share of the costs that the district incurred under section
32 48-3713.01.

33 B. The contract shall contain the further provision that use of
34 central Arizona project facilities for any purpose under this section
35 shall not interfere with deliveries to central Arizona project
36 subcontractors for direct use.

37 C. Any contract ~~THAT IS~~ executed by the district under this section
38 with a central Arizona project subcontractor shall contain the provision
39 that in any year in which the amount of Colorado River water available for
40 delivery to central Arizona project subcontractors is one million five
41 hundred thousand acre-feet or less, central Arizona project water ~~THAT IS~~
42 allocated to the subcontractor to be used for any water storage under this
43 section will be limited to water ~~which~~ ~~THAT~~ would otherwise not be
44 delivered for direct use to other central Arizona project subcontractors,
45 except that after December 31, 1993, central Arizona project water ~~THAT IS~~
46 allocated to the subcontractor to be used for any water storage under this
47 section will be limited to water ~~which~~ ~~THAT~~ would otherwise not be

1 delivered for direct use to other central Arizona project subcontractors
2 serving water in the same active management area. ~~Nothing in~~ This
3 subsection ~~shall be construed to~~ DOES NOT affect the subcontract rights of
4 central Arizona project subcontractors.

5 D. The contract may include a provision to require the district to
6 pay to the county contributions in lieu of taxes on any property, or
7 interest in property, THAT IS acquired under this section. The amount of
8 the contribution shall be determined according to the procedures in title
9 42, chapter 15, article 6. If the contract contains such a provision, the
10 property, or interest in property, THAT IS acquired under this section is
11 deemed to be taxable property in the county only for purposes of
12 determining the county's levy limit under section 42-17051 and the
13 distribution of state transaction privilege tax revenues to the counties
14 under section 42-5029, subsection D, paragraph 3, subdivision (a),
15 item (i).

16 ~~[E. NOTWITHSTANDING ANY OTHER LAW, A MUNICIPAL PROVIDER MAY NOT~~
17 ~~PLACE AN ORDER WITH THE DISTRICT FOR THE DELIVERY OF CENTRAL ARIZONA~~
18 ~~PROJECT WATER THAT THE PROVIDER INTENDS TO STORE IN AN UNDERGROUND STORAGE~~
19 ~~FACILITY PURSUANT TO SECTION 45-811.01 DURING A PERIOD OF SHORTAGE ON THE~~
20 ~~COLORADO RIVER, AS DECLARED BY THE UNITED STATES SECRETARY OF THE INTERIOR~~
21 ~~OR THE COMMISSIONER OF THE BUREAU OF RECLAMATION.]~~

22 <<Sec. 3. Legislative findings

23 [The Legislature finds that:

24 1. The storage of water underground for future recovery, if
25 conducted pursuant to the laws of this state, is a reasonable and
26 beneficial use of water.

27 2. It is a good water management practice to support methods and
28 locations of water storage that serve the dual function of providing
29 immediate economic benefit to this state and recovery for future use and
30 the practice should be encouraged.]]>>

31 Enroll and engross to conform

32 Amend title to conform

And, as so amended, it do pass

GAIL GRIFFIN
CHAIRMAN

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